

## 26PSCV00472 26PSCV00472

County: los-angeles

Division: Civil Law and Motion

Department: G

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Case Number: 26PSCV00472 Hearing Date: September 11, 2026 Dept: G

Plaintiffs

Ling Fong and Diana Fong's Motion for Reconsideration of the Order Sustaining the Demurrer

Respondent:

Defendants NewRez, LLC and U.S. Bank Trust, N.A.

Plaintiffs

Ling Fong and Diana Fong's Motion to Set Aside and Vacate Judgment and to Enter a Different Judgment

Respondent:

Defendants NewRez, LLC and U.S. Bank Trust, N.A.

TENTATIVE

RULING

Plaintiffs

Ling Fong and Diana Fong's Motion for Reconsideration of the Order Sustaining the Demurrer is DENIED.

Plaintiffs

Ling Fong and Diana Fong's Motion to Set Aside and Vacate Judgment and to Enter a Different Judgment is DENIED.

BACKGROUND

This

is a wrongful foreclosure action. Plaintiffs

Ling Fong and Diana Fong (the Fongs) allegedly obtained a home equity loan from nonparty Bank of America, secured with their residential real property. In September 2019, defendant Specialized Loan Servicing LLC (Specialized Loan Servicing) allegedly started servicing the loan instead of Bank of America. On October 19, 2019, Specialized Loan Servicing allegedly executed an assignment of deed of trust to defendant U.S. Bank Trust, N.A. (U.S. Bank) as trustee of MEB Loan Trust IV. Specialized Loan Servicing was allegedly then succeeded-in-interest by defendant NewRez, LLC (NewRez), which allegedly failed to maintain accurate servicing records. In January 2022, the Fongs allegedly discovered that their loan was being serviced by NewRez and not Bank of America. In December 2022, the Fongs allegedly filed for Chapter 13 bankruptcy. Beginning in September or October 2023, the Fongs allegedly paid NewRez directly according to the bankruptcy plan, but NewRez allegedly failed to give the Fongs monthly mortgage statements.

On

March 7, 2024, U.S. Bank allegedly appointed defendant Selene Finance LP (Selene) to service the Fongs' loan, and Selene allegedly inherited NewRez's inaccurate servicing records. On March 27, 2024, NewRez allegedly executed an assignment deed of trust to U.S. Bank as trustee of RCAF Acquisition Trust. On April 18, 2024, Selene allegedly recorded a notice of default. On July 15, 2024, Selene allegedly served the Fongs with a foreclosure notice. On July 17, 2024, Selene allegedly recorded a notice of trustee's sale. In October 2024, the Fongs allegedly filed for Chapter 13 bankruptcy again. Beginning in November 2024, the Fongs allegedly paid Selene directly according to the bankruptcy plan, but Selene allegedly failed to give the Fongs monthly mortgage statements for some months and allegedly gave the Fongs contradictory mortgage statements for other months.

On

February 9, 2026, the Fongs filed the Complaint. On July 20, 2026, the Fongs filed the operative Second Amended Complaint, alleging causes of action for (1) violation of the Homeowner Bill of Rights, (2) payoff demands under Civil Code section 2943, (3) wrongful foreclosure and attempted wrongful foreclosure, (4) breach of contract, (5) breach of the implied covenant of good faith and fair dealing, (6) negligence, (7) negligent misrepresentation, (8) fraud by intentional misrepresentation, (9) accounting, (10) declaratory relief, (11) unfair

business practices under the Unfair Competition Law, and (12) quiet title.

On

June 30, 2026, the court sustained NewRez and U.S. Bank's demurrer. On July 13, 2026, the court issued a judgment of dismissal in favor of NewRez and U.S. Bank and dismissed the action as to NewRez and U.S. Bank with prejudice.

On

July 13, 2026, the Fongs filed the motion for reconsideration. On August 28, 2026, NewRez and U.S. Bank filed the opposition, and on September 2, 2026, the Fongs filed the reply.

On

August 3, 2026, the Fongs filed the motion to vacate judgment. On August 28, 2026, NewRez and U.S. Bank filed the opposition, and on September 2, 2026, the Fongs filed the reply.

This

case is set for a case management conference, an order to show cause re: failure to file proof of service, and a hearing on the motions on September 11, 2026.

## OBJECTIONS

The

court acknowledges that the Fongs filed objections to the then-proposed judgment of dismissal. The points raised in the first objection are addressed in the court's discussion of the motion for reconsideration, and the points raised in the second objection are addressed in the court's analysis of the motion to vacate judgment.

## REQUESTS

### FOR JUDICIAL NOTICE

NewRez

and U.S. Bank request that the court take judicial notice of the records of the United States Bankruptcy Court and of this court. The court may take judicial notice of the records of any United States court, California court, and of facts and propositions that are not reasonably subject to dispute. (See Evid. Code, § 452, subds. (d), (h).)

Thus,

the court takes judicial notice of the requested records.

MOTION  
FOR RECONSIDERATION

The  
Fongs seek reconsideration of the court's decision to sustain the demurrer of NewRez  
and U.S. Bank based on the doctrine of judicial estoppel. For the following reasons, the motion is DENIED.

Legal  
Standard

Code  
of Civil Procedure section 1008 "specifies the court's jurisdiction with regard  
to applications for reconsideration of its orders and renewals of previous  
motions and applies to all applications to reconsider any order of a judge or  
court, or for the renewal of a previous motion, whether the order deciding the  
previous matter or motion is interim or final.  
No application to reconsider any order or for the renewal of a previous  
motion may be considered by any judge or court unless made according to this  
section." (Code Civ. Proc., § 1008,  
subd. (e).) "A trial court may only rule  
on a motion for reconsideration before entry of judgment." (Ramon v. Aerospace Corp. (1996) 50  
Cal.App.4th 1233, 1237, emphasis in original.)

Discussion

As  
a preliminary matter, the court notes that it lacks the authority to consider a  
motion for reconsideration after it enters judgment. (See Ramon, supra, 50  
Cal.App.4th at 1237–1238.) Here, the  
court issued a judgment of dismissal in favor of NewRez and U.S. Bank on July  
13, 2026. (See 7/13/2026 Order  
and Judgment of Dismissal, pp. 4–5.) Therefore,  
the court does not have the authority to consider the Fongs' motion for  
reconsideration.

Accordingly,  
the motion for reconsideration is DENIED.

MOTION  
TO VACATE JUDGMENT

The  
Fongs move to vacate the court's judgment of dismissal in favor of NewRez and U.S. Bank on the basis that the judgment does not match the court's previous ruling. For the following reasons, the motion is DENIED.

Legal  
Standard

"A  
judgment or decree, when based upon a decision by the court . . . may, upon motion of the party aggrieved, be set aside and vacated by the same court, and another and different judgment entered, for . . . [i]ncorrect or erroneous legal basis for the decision, not consistent with or not supported by the facts. . . ." (Code Civ. Proc., § 663.)

Discussion

The  
Fongs argue that the court's judgment is inconsistent with the order sustaining the demurrer. The court disagrees.

The  
Fongs state plainly, "This motion does not ask the Court to reconsider its June 30, 2026 ruling. It asks the Court to correct a judgment that does not match that ruling." (Mot. Vacate P&A, p. 2.) The Minute Order for the demurrer reads in pertinent part, "[NewRez and U.S. Bank]'s oral argument regarding Judicial Estoppel is persuasive and the Court now GRANTS Defendants' Demurrer. The Court relies on the case of HAMILTON VS. STATE FARM FIRE AND CASUALTY COMPANY (9th Circuit, 2001) F.3d 778. This Order is made With Prejudice. [NewRez and U.S. Bank] to file Judgment of Dismissal on or before 07/08/2026." (6/30/2026 Min. Order, p. 1, spacing changed.)

The  
Fongs argue that the judgment recites a factual finding the court never made because it states, "[The Fongs] failed to disclose the claims they now assert in this action in their bankruptcy cases or bankruptcy plans." (Mot. Vacate P&A, p. 3, citing 7/13/2026

Order and Judgment of Dismissal, p. 4.)

Even though the Minute Order for the demurrer did not explicitly make this finding, the cited statement in the judgment is consistent with the court's determination that the argument regarding judicial estoppel was persuasive.

The

Fongs also argue that the judgment is contradicted by the record, and the judicial estoppel doctrine was not satisfied.

(See Mot. Vacate P&A, pp. 4–5.) The parties' arguments regarding the evidentiary record and judicial estoppel go to the merits of the underlying demurrer, not whether the judgment was consistent with the order on the demurrer. In other words, these arguments may have been appropriate for the motion for reconsideration under Section 1008, but they are not appropriate for the motion to vacate judgment under Section 663.

The

Fongs further argue that the judgment award exceeds the scope of the order on the demurrer. (See Mot. Vacate

P&A, pp. 6–7.) The Fongs cite the

judgment's statement that "[NewRez and U.S. Bank], as the prevailing parties, are entitled to recover their fees and costs against [the Fongs], as permitted by law and/or contract." (Mot. Vacate

P&A, p. 6, citing 7/13/2026 Order and Judgment of Dismissal, p. 5.) Even though the order on the demurrer did not contain an explicit statement that NewRez and U.S. Bank were prevailing parties, any statement that they are not prevailing parties would be inconsistent with the order. As stated

above, the order provides that the court "GRANTS [NewRez and U.S. Bank's] Demurrer . . . With Prejudice." (See 6/30/2026 Min. Order, p. 1.)

Moreover,

the statement concerning fees and costs was not an independent award of fees and costs but a restatement of the law. Code

of Civil Procedure section 1032 provides that "a prevailing party is entitled

as a matter of right to recover costs in any action or proceeding." (Code Civ. Proc., § 1032, subd. (b).) The same statute defines "prevailing party"

as including "a defendant in whose favor a dismissal is entered" and "a defendant as against those plaintiffs who do not recover any relief against that

defendant.” (Code Civ. Proc., § 1032, subd. (a)(4).) A party may recover attorney’s fees as part of their costs “when authorized by any of the following: (A) Contract[,] (B) Statute[,] [or] (C) Law.” (Code Civ. Proc., § 1033.5, subd. (a)(10).)

Finally, the Fongs argue that the judgment runs in favor of a party that was not a demurring party. (See Mot. Vacate P&A, p. 7.) However, NewRez and U.S. Bank clarify, and the Fongs even appear to acknowledge, that NewRez succeeded Specialized Loan Servicing. (Opp. Vacate, p. 9, clarifying that NewRez “is [Specialized Loan Servicing]’s successor by merger” and that “[b]y operation of the merger, [NewRez] succeeded to [Specialized Loan Servicing]’s pertinent rights, obligations, and litigation interests”; see Mot. Vacate P&A, p. 7, noting that a previous version of the proposed order “treat[ed] Specialized Loan Servicing . . . as a former name of NewRez rather than as a separate defendant”; see also AC, ¶ 11, alleging that “[NewRez] is the successor-in-interest to Specialized Loan Servicing . . . and, through merger and corporate restructuring, assumed the servicing operations previously conducted by Specialized Loan Servicing.”) Rather than treat Specialized Loan Servicing as a separate entity, the judgment appropriately treats it as a party whose interests are necessarily intertwined with that of its successor NewRez.

Accordingly, the motion to vacate judgment is DENIED.

## CONCLUSION

For these reasons, the motion for reconsideration is DENIED.

The motion to set aside and vacate judgment and to enter a different judgment is DENIED.